On forfeiture, the amount so far paid by the shareholder is forfeited which is a gain to the company and is credited to forfeited shares account. Forfeited shares account is shown under share capital as a separate head in the Note to Accounts to the balance sheet.

The following journal entry is to be passed in the books of the company:

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Equity share capital A/c (called up amount)	Dr.		xxx	
	To Equity share allotment A/c (amount unpaid)				xxx
	To Equity share call A/c (amount unpaid)				xxx
	To Forfeited shares A/c (amount so far paid)				xxx
	(Forfeiture of shares for non payment of allotment and call)				

Illustration 8

Anitha was holding 500 equity shares of ₹ 10 each of Thanjavur Motors Ltd, issued at par. She paid ₹ 3 on application, ₹ 5 on allotment but could not pay the first and final call of ₹ 2. The directors forfeited the shares for nonpayment of call money. Give Journal entry for forfeiture of shares.

Solution

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Equity share capital A/c (500 × 10)	Dr.		5,000	
	To Equity share call A/c (500 × 2)				1,000
	To Forfeited shares A/c (500 × 8)				4,000
	(500 shares forfeited for non payment of call money)				

Illustration 9

Muthu was holding 20 equity shares of ₹ 10 each on which he paid ₹ 2 on application but could not pay ₹ 3 on allotment and ₹ 1 on first call. Directors forfeited the shares after the first call. Give journal entry for recording the forfeiture of shares.

Solution

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Equity share capital A/c (20 × 6)	Dr.		120	
	To Equity share allotment A/c (20 × 3)				60
	To Equity share first call A/c (20 × 1)				20
	To Forfeited shares A/c (20 × 2)				40
	(Shares forfeited)				

Tutorial note

Equity share capital is debited with the called up amount of ₹ 6.

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